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RESOLUTION NO. 26- 81

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF BENICIA SUBMITTING A BALLOT MEASURE TO VOTERS TO APPROVE AN ORDINANCE OF THE CITY COUNCIL OF THE CITY OF BENICIA ESTABLISHING THE CITY OF BENICIA AS A CHARTER CITY AND ADDING A NEW CHAPTER 1A (CITY OF BENICIA CHARTER) TO THE BENICIA MUNICIPAL CODE SOLELY WITH RESPECT TO THE AUTHORITY NECESSARY FOR THE IMPOSITION, LEVY AND COLLECTION OF A TAX ON THE CONVEYANCE OF REAL PROPERTY BASED ON THE VALUE OF THE REAL PROPERTY SALES AND NO OTHER CHARTER CITY AUTHORITIES.

WHEREAS, the City of Benicia is committed to maintaining high-quality municipal services, preserving public infrastructure, and planning responsibly for the City's future; and

WHEREAS, the City recognizes that future growth and development should contribute to maintaining the public services, facilities, and infrastructure necessary to support that growth; and

WHEREAS, the City anticipates significant future development opportunities, including approximately 527 acres of privately owned undeveloped property planned for the development of more than 1,600 residential units; and

WHEREAS, the former Valero Benicia Refinery, consisting of more than 900 acres, is anticipated to undergo redevelopment following the refinery's closure in April 2027, with planning efforts contemplating a mix of industrial, commercial, retail, and residential uses, including the potential for approximately 3,500 residential units; and

WHEREAS, these and other future anticipated development opportunities represent a significant investment in the City's future and will create additional demand for municipal services, public safety, transportation infrastructure, parks, and other community facilities that require ongoing maintenance and investment; and

WHEREAS, the City Council finds that it is appropriate for newly constructed residential development, commercial development, and higher-value real property transactions to contribute toward to maintaining the long-term sustainability of City services and infrastructure that benefit the community; and

WHEREAS, the proposed Measures Y (Limited Charter Authorizing Imposition of a Real Property Transfer Tax) and Z (Real Property Transfer Tax) are intended to work together to ensure that newly constructed properties and higher-property transactions contribute toward maintaining City services and infrastructure; and

WHEREAS, under the California Constitution, only a charter city may levy a real property transfer tax at rates different from those otherwise authorized by general law; and

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WHEREAS, the adoption of the proposed limited charter, for which a ballot measure is also being presented to voters on November 3, 2026 as Measure Y is therefore legally necessary to authorize the City to enact the proposed Real Property Transfer Tax; and

WHEREAS, the proposed limited charter would establish limited charter authority solely for the purpose of authorizing the City to adopt and administer a municipal real property transfer tax and would not alter the City's governmental organization, powers, or authority except as necessary to accomplish that limited purpose; and

WHEREAS, the proposed Real Property Transfer Tax is structured so that newly constructed residential properties and commercial properties contribute upon transfer, while existing residential properties constructed before January 1, 2027, remain exempt unless sold for two million dollars ($2,000,000) or more, thereby focusing the tax on future development and higher-value property sales; and

WHEREAS, the adoption of a limited City Charter ("City Charter") is legally necessary to allow the City to enact a real property transfer tax, for which a ballot measure is also being presented to the voters on November 3, 2026 as Measure Z, revenue from which will be used for unrestricted general governmental purposes, including infrastructure such as roads, repairing potholes, storm drains, sidewalks, and public facilities such as the City Pool, Community Center, Library, Marina, parks, and essential services such as police, fire, library, youth and senior programs, engineering and community development (planning and building) and other uses; and

WHEREAS, if the real property transfer tax (Measure Z), as authorized by the City Charter, is approved by the voters, the revenue from the real property tax will be subject to transparency and accountability provisions such as financial audits and oversight by an independent Citizens Oversight Committee as well as the City's Local Tax Oversight Board to ensure that all funds will remain in the City of Benicia for the local general services on which residents and businesses rely and that the Federal or State governments can take none of the new funding; and

WHEREAS, pursuant to authority provided by Article Xl of the California Constitution, and Title 4, Division 2, Chapter 3 of the Government Code and Division 9, Chapter 3, Article 3 (commencing at Section 9255) of the Elections Code of the State of California, the City Council desires to submit a measure to the qualified electors of the City of Benicia regarding whether the City of Benicia shall become a Charter City for the limited and sole purpose of levying a Real Property Transfer Tax (RPTT); and

WHEREAS, in accordance with Government Code Section 34458, on May 19, 2026, the City Council held the first duly noticed public hearing whereby it received public comment on and considered the matter of the proposal of a limited charter for the City of Benicia for the limited and sole purpose of granting the City the power necessary for the imposition, levy and collection of a tax on the conveyance of real property based on the value of the real property and the content of the proposed charter; and

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WHEREAS, in accordance with Government Code Section 34458, on June 23, 2026, the City Council held the second duly noticed public hearing whereby it received public comment on and considered the matter of the proposal of a limited charter for the City of Benicia and the content of the proposed charter; and

WHEREAS, the proposed Ordinance adopting the "City of Benicia Charter", attached hereto and incorporated herein by reference as Exhibit "A", ("Ballot Measure") would provide the City with the constitutional powers conferred on cities under Article XI sections 7 and 5 of the California Constitution solely with respect to the power necessary for the imposition, levy and collection of a tax on the conveyance of real property based on the value of the real property; and

WHEREAS, the City Council of the City of Benicia has determined that adoption of the proposed Charter would be beneficial for the City of Benicia and its residents by establishing the authority for the qualified electors of the City of Benicia to decide whether to enact a Real Property Transfer Tax Ordinance, the revenues of which would be locally controlled and help to ensure that essential city services are provided and maintained; and

WHEREAS, Government Code Section 34458.5 requires that a proposal to adopt or amend a charter include in a ballot description an enumeration of new city powers as a result of the adoption of the charter, in this instance being solely that the City Council will have the new power to enact a real property transfer tax that is subject to approval by the City's voters and as stated in section 200 of the proposed charter, all other powers of the City shall be governed by the general laws of the State that currently govern the City, and the proposed charter does not give the City Council any new powers to raise its compensation or that of other City officials without voter approval; and

WHEREAS, Elections Code Section 9255(b) provides that a charter proposed by the local governing body shall be submitted to the voters at an established statewide general election pursuant to Section 1200, provided there are at least 88 days before the election at a statewide general election pursuant to Elections Code Section 1200; and

WHEREAS, on July 21, 2026, the City Council adopted Resolution 26-75, submitting the Ballot Measure to the voters, however, now decides that it would like to amend the Ballot Question that was adopted in Resolution 26-75; and

WHEREAS, the City Council desires to submit the Ballot Measure to the voters of the City at a General Municipal Election to be held on Tuesday, November 3, 2026, and to be consolidated with the general municipal election and the statewide election to be held on that date.

NOW, THEREFORE, BE IT RESOLVED AND ORDERED BY THE CITY COUNCIL OF THE CITY OF BENICIA:

Section 1. Recitals. The City Council hereby finds and determines that the foregoing recitals are true and correct and are hereby fully incorporated by this reference.

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Section 2. Rescission of Resolution No. 26-75. Resolution No. 26-75, adopted on July 21, 2026 is hereby rescinded in its entirety.

Section 3. Election. The City Council of the City of Benicia hereby orders the Ballot Measure be submitted to the voters at the General Municipal Election to be held on Tuesday, November 3, 2026 and requests the Solano County Elections Department to conduct the election and consolidate it with the statewide election to be held on November 3, 2026.

Section 4. Ballot Question. The City Council hereby approves and orders the following ballot question for the Ballot Measure to be submitted to the voters of the City of Benicia at the general municipal election on November 3, 2026:

Measure Y **Limited City Charter**	
Shall the measure, adopting a limited City Charter for the City of Benicia that allows the real property transfer tax in Measure Z to take effect if voters approve both Measures Y and Z, and continues the City's existing council-manager form of government, be adopted?	YES
	NO

Section 5. Proposed Ordinance. The text of the Ballot Measure to be submitted to the voters is attached to this Resolution as Exhibit A and incorporated by reference. The full text of the Ballot Measure shall be printed in the Sample Ballot and Voters Pamphlet and shall be made available to the public and to any voter at the Solano County Elections Department and the Benicia City Clerk.

Section 6. Publication of Measure. The City Clerk is directed to publish a synopsis of the Ballot Measure at least one time not later than one week before the election.

Section 7. Approval. The vote requirement for this Ballot Measure to pass shall be a majority of those casting ballots on the measure (50% plus 1).

Section 8. Filing with County. The City Clerk shall file a certified copy of this Resolution with the Solano County Elections Department.

Section 9. Impartial Analysis. Pursuant to California Elections Code Section 9280, the City Council hereby directs the City Clerk to transmit a copy of the Ballot Measure to the City Attorney. The City Attorney shall prepare an impartial analysis of the Ballot Measure, not to exceed 500 words in length, showing the effect of the Ballot

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Measure on the existing law and the operation of the measure, and shall transmit such impartial analysis to the City Clerk.

Section 10. Ballot Arguments. Pursuant to California Elections Code Sections 9286 and 9287, the City elections official shall fix the date and time for submitting arguments for or against, as well as rebuttal arguments, for the Ballot Measure. The City Council hereby adopts the provisions of California Elections Code Section 9285 regarding procedures by which the City elections official will consider ballot arguments in favor, against, or rebuttal for the Ballot Measure.

Section 11. Implementation. The City Clerk and City Manager are authorized to take all actions as necessary to effectuate the purposes of this resolution and the election. The City Manager is authorized to execute all documents and to perform all other necessary City acts to enter into a service agreement for the provision of election services with the Solano County Registrar of Voters. The City Clerk and City Attorney are authorized to make any typographical, clerical, and non-substantive corrections to this resolution as may be deemed necessary by the Solano County Elections Department.

Section 12. Declaration. The City Council shall meet to declare the results of the election called for by this Resolution at their regular meeting following certification of election results.

Section 13. Effective Date. This Resolution shall take immediate effect upon its adoption by the City Council and the City Clerk shall certify the vote adopting the resolution.

Section 14. Environmental Compliance. The proposed City Charter ballot measure is exempt from further review under the California Environmental Quality Act (CEQA) because the Charter enabling the adoption of a Real Property Transfer Tax involves the creation of a government funding mechanism which does not involve any commitment to any specific project and thus is not a project subject to the requirements of CEQA as provided by Guidelines Section 15378(b)(4), and further pursuant to Guidelines Section 15061(b)(3) which exempts projects where it can be seen with certainty that there is no possibility that the activity in question may have a significant effect on the environment.

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On motion of Council Member **Macenski**, seconded by Council Member **Birdseye**, the above Resolution was adopted by the City Council of the City of Benicia at a regular meeting of said Council held on the 4th day of August 2026 by the following vote:

Ayes: **Council Members Birdseye, Macenski, Scott, and Mayor Young**

Noes: **Council Member Largaespada**

Absent: **None**

Abstain: **None**

[redacted]

Steve Young, Mayor

Attest:

[redacted]

Lisa Wolfe, City Clerk

8/5/2026

Date

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Exhibit A

CITY OF BENICIA CHARTER

[see next page]

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CITY OF BENICIA

DRAFT

ORDINANCE NO. 26-_____

AN ORDINANCE OF THE CITY COUNCIL OF THE CITY OF BENICIA ESTABLISHING THE CITY OF BENICIA AS A CHARTER CITY AND ADDING A NEW CHAPTER 1A (CITY OF BENICIA CHARTER) TO THE BENICIA MUNICIPAL CODE SOLELY WITH RESPECT TO THE POWERS OVER MUNICIPAL AFFAIRS IN RELATION TO A SYSTEM FOR THE IMPOSITION, LEVY AND COLLECTION OF A TAX ON THE CONVEYANCE OF REAL PROPERTY BASED ON THE VALUE OF THE REAL PROPERTY IN ADDITION TO THE AMOUNT AUTHORIZED BY CALIFORNIA REVENUE AND TAXATION CODE SECTION 11911

WHEREAS, the City of Benicia was incorporated as a general law city in 1851 by residents seeking to manage local affairs and today serves a population of approximately 26,200, providing a host of general governmental services through the exercise of its Constitutional Police Powers to the community including police, fire, parks and recreation, library, public works engineering and maintenance, water and wastewater, community development (planning and building), and various administrative support services in a fiscally sustainable manner; and

WHEREAS, Benicia has a limited economic base for which to derive revenue for public services; by design, Benicia has chosen not to seek commercial development, and our industrial park is anchored by an oil refinery that has recently closed; and

WHEREAS, for more than a generation Benicia has seen limited growth both in housing and even more so with commercial and industrial development; additionally, more than 40% of residential units have not transferred in more than 35 years, and

WHEREAS, this limited economic base and little growth have placed great strain on the City's ability to meet service demands and maintain essential infrastructure; and

WHEREAS, current revenues are insufficient for the City of Benicia to continue to provide those services in fiscally sustainable manner; and

WHEREAS, to address this challenge, the City of Benicia has pursued cost saving measures and the City's voters have approved multiple revenue measures in recent past including a Cannabis Excise Tax, specially designated Sales Tax increases and a Transient Occupancy Tax increase; and

WHEREAS, the anticipated revenue generation from those measures still leaves the City well short of what is required to fund services and maintain important infrastructure needs such as roads, repairing potholes, storm drains, sidewalks, and public facilities such as the City Pool, Community Center, Library, Marina, parks, and essential services such as police, fire, library, youth and senior programs, engineering

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and community development (planning and building) and other unrestricted general government purposes; and

WHEREAS, for this reason, it is necessary for the City of Benicia to seek additional sources of revenue generation, such as levying a Real Property Transfer Tax on the sale of properties within its boundaries; and

WHEREAS, becoming a charter city would grant Benicia the power to institute a Real Property Transfer Tax, a power it does not have as a general law city; and

WHEREAS, to address this matter, in April 2026, the City Council, pursuant to the authority granted by Government Code Section 34458, provided direction to staff to draft a city charter focused exclusively on granting the power to levy a Real Property Transfer Tax that, if approved by a simple majority of voters, would establish Benicia as a charter city under California state law; and

WHEREAS, pursuant to Government Code Section 34458(b), the City Council held two public hearings to receive comments from the public and to consider the proposed Benicia City Charter for the limited and sole purpose of enacting a Real Property Transfer Tax; and

WHEREAS, at the conclusion of the hearing process, after considering all testimony, evidence, and comments from the public, the City Council directed the preparation of a ballot measure for the November 2026 election to put before voters the decision to adopt the proposed Benicia City Charter for the limited and sole purpose of enacting a Real Property Transfer Tax; and

WHEREAS, pursuant to Elections Code Section 9217, if a majority of the voters voting on a proposed ordinance vote in its favor, the ordinance shall become a valid and binding ordinance of the City. The ordinance shall be considered as adopted upon the date that the vote is declared by the legislative body and shall go into effect 10 days after that date.

NOW, THEREFORE THE PEOPLE OF THE CITY OF BENICIA DO ORDAIN AS FOLLOWS:

The following Charter is hereby adopted to be included as Title 1A of the City of Benicia Municipal Code:

CITY OF BENICIA CHARTER

ARTICLE 1 NAME AND BOUNDARIES

101. Name and Boundaries. The municipal corporation now existing and known as the City of Benicia, hereafter referred to as “the City,” shall remain and continue to be a municipal body corporate and politic, as at present, in name, in fact, and in law.

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ARTICLE 2 POWERS OF CITY

201. Exercise of Constitutional Power of Taxation. The City of Benicia adopts this Charter to exercise the constitutional powers conferred on cities under Article XI section 5 of the California Constitution solely with respect to the power to enact a system for the imposition, levy and collection of a tax on the conveyance of real property based on the value of the real property in addition to the amount authorized by California Revenue and Taxation Code section 11911.

202. Subject to General Laws. Except as provided in this Charter stated in Section 200, the powers of the City shall otherwise be constrained by, subject to, and governed by the general laws of the State as now and hereafter existing relating to cities organized under said general laws.

203. Severability. If any provision of this Charter is found by a court of competent jurisdiction to be invalid, the remaining provisions of the Charter shall remain in full force and effect.

204. Amendment. Any amendment to this Charter shall require approval by a simple majority of City of Benicia voters and shall be effective when approved by City of Benicia voters and filed pursuant to the California Constitution and applicable State law.

ARTICLE 3 SUCCESSION

301. Rights and Liabilities. The City shall remain vested with and continue to have, hold, and enjoy all property, rights of property, and rights of action of every nature and description now pertaining to this municipality, and is hereby declared to be the successor of same. It shall be subject to all the obligations, contracts, liabilities, debts, and duties that now exist against or with the City.

302. Ordinances, Codes, and Other Regulations. All ordinances, codes, resolutions, regulations, rules, and portions thereof, in force at the time this Charter takes effect, and not in conflict or inconsistent herewith, shall continue in force until repealed, amended, changed, or superseded in the manner provided by this Charter and any other applicable laws.

303. Pending Actions And Proceedings. No action or proceeding, civil or criminal, pending at the time this Charter takes effect, brought by or against the City or any officer, office, or department thereof, shall be affected or abated by the adoption of this Charter, or by anything herein contained.

ARTICLE 4 FORM OF GOVERNMENT

401. Form of Government. The form of government shall be that commonly known as the Council-Manager form of government. The City Council, consisting of five councilmembers elected at large for four year staggered terms, in the manner in effect when this Charter was adopted, shall establish the policy of the City and the City Manager shall carry out that policy.